HEADLINE JUDGMENT

Score HOLDS at 27/30 for a sixteenth consecutive edition. No channel moved. Iran answered the Larak strike by firing ballistic missiles at American bases in JORDAN, and three foreign ministries — Jordan's, Iran's own and Qatar's — put it on the record inside twenty-four hours, turning the last edition's uncorroborated Tier 3 claim into a Tier 1 event. **One.** What is corroborated is the EVENT, not the damage. Petra reports eight missiles intercepted and destroyed and gives no launch total, so no interception rate follows from it; Iran's foreign ministry confirms the targeting; Qatar names Iran, and names the UAE with it. Against that, ABC carries two Jordanian security sources saying some missiles were NOT intercepted, no US or Jordanian damage assessment or casualty figure was OBTAINED, and the separate UAE strike claim is Iranian and **DENIED** by Abu Dhabi. Trump promised retaliation and had not delivered it at the cut — the largest open fact on the board, and the reason the full-war line moves two points rather than ten. **Two.** The allies would not certify the mine claim. JMIC Update 091, issued after Adm. Cooper declared the internationally recognised routes free of Iranian mines and on the day of the Larak strike, re-published 'mine danger areas still active' and continuing clearance operations, both flagged '(No change)'. Four allied statements inside a week now say the lanes are clear, that no ship has hit a mine, that launchers were loading fresh ones, and that the danger areas remain. Only the **FLOW-not-STOCK** reading fits all four, and it rests on allied paper rather than on this document's inference. **Three.** The market half moved in the right shape and cost two downgrade legs. A **BEAR STEEPENER** rising monotonically with tenor took the 10-year to **4.7500%** and the 5-year to **4.5002%**, both **NEW WAR-HIGH CLOSES**, on real yield rather than compensation, and Threshold B held a second close with both legs widening. But MOVE printed **75.32**, ending nine consecutive closes below 75, so the Treasury volatility leg is **LOST** and §9.15 fails to fire for a THIRD session; and the 5y5y forward closed below **2.30%** for a **SECOND CONSECUTIVE** session, the first time that break has held. A channel scored at 5 on a trigger that has now failed twice running is the most adverse fact here for the monitor's own scoring, and §9.26 still forbids moving the rule. **Four,** and nobody has priced it: the 60-day War Powers clock from the 10 July notification expires on 8 SEPTEMBER, into a Senate sitting in pro forma session until 14 September. A statutory expiry arrives six days before the chamber that would have to act can act. **Sequencing 27 → 27 → 27.** Five of six channels are at the cap, so the score can register NEITHER an Iranian ballistic-missile attack on American bases in a treaty partner NOR two war-high Treasury closes on one day. Only oil has headroom, and its distance to the upgrade narrowed to **$6.63** from **$6.90.**

1 · LIVE TAPE

Scoring reference is the 31 August close (Mon); the 1 September row is a Singapore-MORNING mark taken BEFORE the US cash session and moves no channel (A9a). ALL THREE integrity checks **CLEAR** — the first clean sweep in three editions — and the two-way backfill test fires on FOUR cells, decisively on MOVE (A1.1). The 1 September US session had not begun at the cut: the ISM, JOLTS, construction spending, the GDPNow update and the White House refiners meeting are **PROSPECTIVE**, not unobtained (§9.46). Every row below carries the Bloomberg ticker it is drawn from, one row per series; the tickers are taken from the extract's own header scan and are never hardcoded (§3). Trigger notes are compressed; full commentary is in ANNEX A1.

1.1 · Energy

Series	BBG ticker	27 Aug	28 Aug	31 Aug close	1 Sep intr.	Trigger note
Brent, front-month listed — scored	CO2 Comdty	88.52	88.10	88.37	88.86	+**$0.27. $6.63** from the **$95** upgrade, NARROWED from **$6.90** — the tenth reading, the sixth narrowing. **$15.89** above the **$72.48** downgrade, WIDENED. The scored rule is written on this series
Brent, active contract	COA Comdty	88.52 (W)	88.10 (W)	90.49	91.09	**(!) NO d/d ACROSS 28→31 AUG** — different delivery months (§9.36). (W) = restated to equal CO2; the FOUR prices withdrawn last edition (20, 26, 27, 28 Aug) stay withdrawn. **$4.51** from **$95,** NOT the scored figure
WTI, front-month listed — scored	CL2 Comdty	81.97	81.83	84.06	84.66	+**$2.23** — eight times Brent's move and the largest crude move of the window. No trigger is written on WTI; it is corroboration for the crude leg
WTI, active contract	CLA Comdty	83.53	83.40	85.76	86.56	Basis to CL2 of 1.56, 1.57, 1.70, 1.90 — no sign change and no step since its own 21 Aug roll. WTI is the clean pair; Brent is not
Henry Hub natural gas	NGA Comdty	2.914	2.888	2.935	2.932	**4.18%** BELOW its **$3.063** anchor, from **5.71%**. The control in the experiment is still negative — but it closed four points of discount in six sessions
Dutch TTF natural gas	TZTA Comdty	68.268	66.979	69.809	70.520	A **NEW WAR-RECORD CLOSE**, +**€2.830,** taking out **€68.457** (24 Aug) — the twelfth of the war. +**123.6%** vs pre-war. The 1 Sep intraday is NOT a record (§9.31)
Japan/Asia LNG	JGLA Comdty	3,687	3,785	3,761	no print	(!) **BACKFILLED** — the last edition reported no 31 Aug print. –24; THIRD-highest close of the war; +**125.3%** vs pre-war

1.2 · US Treasuries and inflation expectations

Basis points. A **BEAR STEEPENER**, rising monotonically with tenor — the exact inverse of 28 August. Two new war-high closes, and no trigger is written on either tenor (§2.1, A10.2).

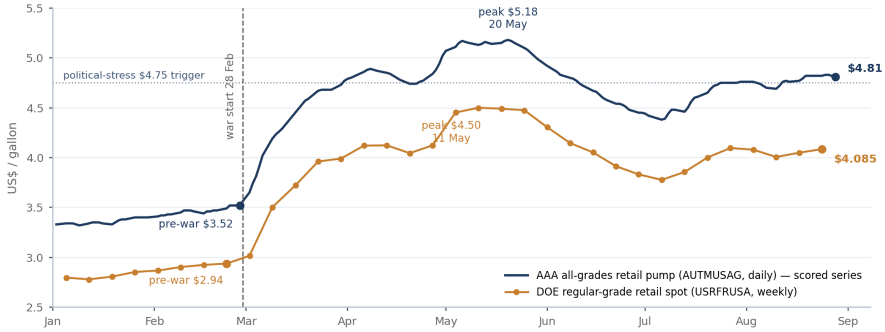
Tenor	BBG ticker	27 Aug	28 Aug	31 Aug close	1 Sep intr.	d/d, bp	Trigger note
2-year	USGG2YR Index	4.2320	4.3434	4.3415	4.3560	–0.19	**The ONLY tenor that fell. Fourth-highest CLOSE of the war; the closing war high is 4.3470 (23 Jul)**. (!) The 1 Sep intraday exceeds it, but this document ranks CLOSES only. No trigger is written on the 2-year
5-year	USGG5YR Index	4.3996	4.4789	4.5002	4.5232	+2.13	A **NEW WAR-HIGH CLOSE** for a SECOND consecutive session. No trigger is written on the 5-year either
10-year	USGG10YR Index	4.6762	4.7180	4.7500	4.7780	+3.20	A **NEW WAR-HIGH CLOSE**, passing 4.7347 (31 Jul) — its first in a month. SATISFIES Threshold B’s **4.65%** leg by **10.00 bp**, its widest of the regime
30-year	USGG30YR Index	5.1931	5.2056	5.2423	5.2730	+3.67	The largest move on the curve. **CLEARS** B’s **5.20%** by **4.23 bp** from 0.56, so B HOLDS. NOT a war high (5.3060, 17 Aug); the TENTH close above 5.24. The downgrade leg fails by **24.23 bp**, WIDENED from 20.56
2s10s spread	USYC2Y10 Index	44.014	37.049	40.635	41.990	+3.586	A STEEPENING giving back **51.5%** of Friday’s flattening; **15.005 bp** flatter than the 55.64 anchor. (!) A SEPARATE series, not the difference of the printed generics
10-year breakeven	USGGBE10 Index	2.3335	2.3179	2.3206	2.3231	+0.27	**6.37 bp** above its 2.2569 pre-war anchor, WIDENED from 6.10. (!) It moved the OPPOSITE way to the 5y5y forward on the same session, which is itself a reason not to act on either
5y5y forward breakeven	USGG5Y5Y Index	2.3182	2.2964	2.2885	2.2947	–0.79	(!) Closed below the **2.30%** firing level for a **SECOND CONSECUTIVE** session — the first time the break has held two closes — and 2.2885 is the LOWEST close since the upgrade fired on 31 July. **14.65 bp** above the **2.142%** downgrade anchor, NARROWED from 15.44. §9.26: report it, do not move the rule

1.3 · Cross-asset

Series	BBG ticker	28 Aug	31 Aug close	vs pre-war	Note
Treasury volatility (MOVE)	MOVE Index	70.97	**75.32**	+1.94 vs 73.38	(!) **BACKFILLED**, and it is the consequential backfill of the edition. +4.35. The run of NINE closes below 75 (18–28 Aug) is BROKEN — only the second close at or above 75 since 12 Aug. The Treasury volatility leg is **LOST**, and MOVE is above its pre-war anchor for the first time since 17 Aug
Equity volatility (VIX)	VIX Index	14.43	14.92	–4.94 vs 19.86	+0.49, and still the EIGHTH-lowest close of the war — equities pricing no event risk into a weekend that reopened the air war in both directions
US dollar index	DXY Index	99.702	99.428	+1.82 vs 97.608	–0.274, giving back half of Friday’s dollar rally. (!) The label resolves as DXY Index, NOT DXY Curncy — taken from the header scan every edition, never hardcoded (§9.4)
SOFR overnight rate	SOFRRATE Index	3.65	no print	—	(!) **BACKFILLED** at 3.65 for 28 Aug, which the last edition reported DARK; dark again on 31 Aug and 1 Sep. No trigger is written on SOFR
Gasoline, AAA all-grades retail pump — scored	AUTMUSAG Index	4.81	no print	+1.29 vs 3.52	(!) **BACKFILLED DOWN** — the last edition reported 28 Aug DARK with **$4.82** (27 Aug) as last resolved. DARK on 31 Aug and 1 Sep. 21 cents above the **$4.60** condition, 6 above the **$4.75** that fired the upgrade (§9.30)
Gasoline, DOE regular retail spot — corroboration	USRFRUSA Index	no print	no print	+1.15 vs ~2.94	Weekly, surveyed Monday. Last print **$4.085** (24 Aug); the 2 Sep EIA release carries the 31 Aug survey and is **PROSPECTIVE**

THREE retail series, never compared (§9.19): AUTMUSAG (scored) last RESOLVED at **$4.81**; USRFRUSA (weekly corroboration) at **$4.085**; and AAA’s own published headline, read direct 1 September on a page stamped ‘price as of 8/31/26’, at regular **$4.0807** and diesel **$5.6002**. Both AAA series are down on the week; diesel is still **+24.74c** on the month, **CORRECTED** from the +26.4c carried yesterday. Full series, denominators and the record-date caveat at A1.5.

1.4 · US retail gasoline — the two charted series (of three; see A1.5)



AAA all-grades (AUTMUSAG Index, navy, scored) and DOE regular retail (USRFRUSA Index, amber, weekly, corroboration only); the dotted line marks the **$4.75** upgrade trigger, NOT the **$4.60** downgrade condition. The scored series has printed at or above **$4.75** on every session since 12 August. Its last two cells, 31 August and 1 September, are dark, so the plotted line ENDS on 28 August at **$4.81** and no extrapolation is drawn through the gap.

1.5 · Strait operational — 4-row summary (full record, every provider and denominator, at A1.4)

Strand	State on 1 September	Source
UKMTO / incidents / mines	THE MINE WATCHLIST ITEM IS **RESOLVED**, AGAINST THE CLEARANCE CLAIM. JMIC Update 091, ICOD 301500 UTC — a FRESH product issued two to three days after Adm. Cooper declared the internationally recognised routes free of Iranian mines, and on the day of the Larak strike — keeps mine danger areas 'still active' and clearance operations continuing, and flags BOTH passages '(No change)'. Against it, CENTCOM on 31 Aug: 'This is FALSE. No ships have hit mines in the Strait of Hormuz.' NEW Warning 124-26: a tanker struck by THREE projectiles 17 nm E of Khasab, 31 Aug, outbound. Warning 122-26 re-sourced as a primary PDF, provenance **CORRECTED** — issued 30 Aug, source military authorities, vessel inbound. (!) The count stays at 97 with NIL new incidents against a 301500Z cut-off: 122-26 (2053Z, 29 Aug) is INSIDE that window and it still did not move; 124-26 post-dates it by 29 hours	JMIC 091 and UKMTO Warnings 122-26 / 124-26, primary PDFs, 1 Sep; @CENTCOM via CBS 31 Aug
Transits + blockade	**THE SHARPEST DISAGREEMENT IS INSIDE ONE DOCUMENT**: JMIC 091 reports 65 US NCAGS-FACILITATED transits over 27–29 Aug against a stated ~138/day 2025 baseline, while its own annex totals NINE for the identical three days on a non-facilitated cargo denominator. (!) 65 and 9, one publication, not blended (§9.24). TankerMap: 7 tanker transits over 24–30 Aug, 1.0/day, –**30%** w/w against ~21/day. IMF PortWatch, RECOVERED: 3 crossings on 23 Aug = **4%** of its own ~85/day median. VRA Overview No. 5 is DUE 4 SEPTEMBER — **PROSPECTIVE**. (!) CENTCOM's 82 / 3 / 2 was RE-DATED to 29 Aug by JMIC 091, not incremented; its data date pre-dates the retaliation, so it is evidence about neither strike	JMIC 091 §4C and annex; TankerMap; IMF PortWatch
CENTCOM / kinetic	**THE EXCHANGE WENT BOTH WAYS AND THE RETALIATION IS PROMISED, NOT DELIVERED**. After the 30 Aug US strike on two IRGC launchers on LARAK ISLAND, Iran ran operation 'Punishment of the Aggressor': ballistic missiles at the KING HUSSEIN and AL-AZRAQ bases in JORDAN, intercepted early 31 Aug, and a CLAIMED drone attack on AL MINHAD in the UAE. **TIER 1** ON THREE SIDES for Jordan: Petra — eight missiles intercepted and destroyed, WITHOUT naming Iran, the targets or any base; Iran's Foreign Ministry, confirming the targeting; Qatar's MFA, condemning attacks on Jordan and the UAE by name. (!) The UAE **DENIED** Al Minhad was hit while confirming it engaged a UAV approaching from Iran, so the UAE strike claim stays Tier 3 and contradicted. NO US, CENTCOM or Jordanian BDA, casualty figure or interception count was OBTAINED, and ABC has two Jordanian security sources saying some missiles were NOT intercepted. Nothing executed at the cut	Petra, Mehr, Qatar MFA, UAE MoD/MoFA, all 31 Aug; Stars and Stripes, Fox, ABC, CBS 31 Aug
Diplomacy + economic war	**BOTH TRACKS STOPPED ON THE SAME DAY AND THE NEGATIVES ARE THE FINDING**. Oman's MFA Statements page, read direct 1 Sep, carries NOTHING dated 30 or 31 Aug or 1 Sep; the last Iran text is the 25 Aug joint statement, which names no geometry, no fee and no revenue share. NO Iranian corridor statement after 29 Aug, NO readout of the Qatari PM's Tehran visit, NO US negotiations statement after 27 Aug. (!) Qatar moved from MEDIATOR to CRITIC in four days. NO OFAC action and NO Iran-related Treasury release after 28 Aug; still no Chinese bank; Banque Misr UAE remains a PROPOSED rule; the UAE embargo is 14 days old with no legal instrument. The five general licences OFAC suspended 24 Aug wind down 8 SEPTEMBER	fm.gov.om, ofac.treasury.gov, home.treasury.gov read direct 1 Sep

2 · US ECONOMIC SHOCK — ANALYSIS WITH BOND YIELDS

2.1 · Bond-yield transmission, channel by channel

MARITIME DENIAL — 5/5, held. The allied maritime authority re-published its mine language unaltered two to three days after the clearance claim was made.
(i) The state. The downgrade requires a verified reopening AND traffic above **25%** of normal for ten sessions. The traffic evidence did not advance: UKMTO's VRA Overview No. 4 remains the current edition, and No. 5 is due Friday 4 September on a weekly Friday cadence, so it is **PROSPECTIVE** rather than missed. What did advance is the REOPENING leg, and it advanced against a downgrade. JMIC Advisory Note Update 091, ICOD 301500 UTC, states that mine danger areas are 'still active' and that clearance and mine-surveying operations 'continue throughout the Strait of Hormuz' — and flags both passages '(No change)'. (!) That document was issued two to three days after the CENTCOM commander declared the internationally recognised routes free of Iranian sea mines, and on the day US forces bombed launchers said to be preparing fresh ones. (!) The evidence is that a body which issued a FRESH product after the claim left both passages unaltered and flagged them '(No change)'. That is a re-publication, not a stated refusal, and it is not written as one. But a waterway whose own multinational authority re-publishes active mine danger areas and continuing survey operations after a clearance declaration is not a verified reopening, whatever any single command says. (ii) Two more incidents, and the count that should hold them does not. UKMTO Warning 124-26 records a tanker struck by three projectiles 17 nm east of Khasab on 31 August, outbound; Warning 122-26, now obtained as a primary document, records one struck 12 nm north of Khasab on 29 August, inbound. JMIC 091's cumulative count stands at 97 with '**NIL incidents** since the last report' against a cut-off of 30 August 1500 UTC. 122-26's report time of 29 August 2053 UTC is INSIDE that window and the count still did not move; 124-26 post-dates the cut-off by 29 hours. One unexplained absence and one that is simply too late — printed and not reconciled (§9.24). (iii) The measurement problem got worse, not better, and it is now INSIDE one document. JMIC 091 reports 65 US-facilitated transits over 27–29 August against a stated ~138/day historical average; the annex of the SAME document totals NINE for the identical three days on a non-facilitated cargo denominator. TankerMap counts seven tanker transits across the seven days to 30 August, 1.0 a day against a ~21/day reference; IMF PortWatch, recovered this edition, has three commercial crossings on 23 August at **4%** of its own ~85/day median. (!) These are not commensurable and no range across them is constructed here, because constructing one is the splicing §9.24 forbids: the periods differ, the vessel universes differ, and CENTCOM's 82 is a blockade tally rather than a transit count at all. The monitor does not average them, does not pick one, and does not read a rising facilitated count as safety: the facilitated series counts vessels the US Navy is shepherding, which is a measure of escort activity, not of a functioning waterway.

OIL PRICE SHOCK — 2/5, held. The only channel with headroom narrowed toward its upgrade, on a strike rather than on a barrel.
(i) The scored distance. Brent CO2 closed **$88.37** on 31 August, +**$0.27,** leaving the **$95** upgrade **$6.63** away — NARROWED from **$6.90.** The edition-over-edition sequence is now 9.78, 8.43, 5.55, 5.21, 3.03, 7.73, 8.06, 6.48, 6.90, 6.63 — TEN readings, six narrowings, three widenings. The downgrade leg moved the other way, to **$15.89** above **$72.48** from **$15.62.** (ii) The basis check **CLEARS** for the first time since the roll, and that is a real result. Brent's continuation-to-active basis printed 2.12 on 31 August and 2.23 on 1 September, having stepped from twenty sessions of exactly zero. A stable, non-zero, same-signed basis across the roll is what a correctly-rolled pair looks like, and it is the evidence that the 31 August step was the roll this document called it rather than a second restatement. (!) The consequence of §9.36 still binds: 28 August COA and 31 August COA are different delivery months and NO day-on-day change may be constructed across them. The active contract closed **$90.49** and sits **$4.51** from **$95**; that figure is published because a reader will check it, is explicitly NOT the scored distance, and is NOT comparable with the four active-basis distances withdrawn last edition. (iii) What moved the price is the point. The largest crude move in the window was not Brent but WTI, +**$2.23** on the scored series — eight times Brent's move — on a session whose news was a US strike on an Iranian island and an Iranian missile attack on two Arab countries. Meanwhile Henry Hub's discount to pre-war NARROWED from **5.71%** to **4.18%** and TTF set a **record close**. The complex is still pricing a chokepoint rather than a shortage — but the American legs of it, crude and gas alike, both moved toward the war for the first time in several sessions, and that is worth watching rather than concluding on.

US INFLATION IMPULSE — 5/5, held. The trigger that fired this channel has now failed on TWO CONSECUTIVE closes, which it has never done before.
(i) The break held. The 5y5y forward closed **2.2885%** on 31 August, below the **2.30%** level whose sustained break fired this channel 4→5 on 31 July — and 28 August had already closed at **2.2964%**. That is the first time in the regime that the break has survived a second consecutive close, and **2.2885%** is the LOWEST close since the upgrade fired on 31 July. The two prior breaks, **2.2900%** on 13 August and **2.2991%** on 25 August, were each retraced inside one session; this one was not, and it went lower rather than merely staying below. (ii) The score holds, and the rule is not moved. The documented downgrade is a sustained close at or below the **2.142%** pre-war anchor, still **14.65 bp** lower, though that gap narrowed from 15.44. (!) BE10 moved the OTHER WAY — **6.37 bp** above its own 2.2569 anchor, WIDENED from 6.10 — so the two compensation measures disagreed on the session, which is itself a reason not to act on either. §9.26 governs and it is worth restating: do NOT redefine the downgrade to the firing level. That asymmetry is what has stopped every bad call this document has avoided since 25 June. (iii) But the honest statement of the position is uncomfortable and should be made plainly. This channel is scored at its maximum on the strength of a trigger that has now failed twice running, with the documented downgrade fourteen and a half basis points away. The physical impulse is undiminished — TTF at a **record close** and +**123.6%** against pre-war, Asia LNG +**125.3%**, diesel +**$1.90** year on year — so the score is not wrong. But the INSTRUMENT it is written on is being pushed below its firing level by monetary policy, not by the war retreating. (!) A third consecutive close below **2.30%** would make the gap between the firing rule and the downgrade rule the largest open methodological problem in the document, ahead of §9.49. It is flagged here so that it is not discovered later.

TREASURY STRESS — 5/5, held. The downgrade lost its remaining leg, and Threshold B held a second close in the shape it was actually written to detect.
(i) The legs, and one of them is gone. The downgrade requires a 30-year close below **5.00%** WITH MOVE below 75, sustained. MOVE closed **75.32** — ENDING the run of NINE consecutive closes below 75 that ran 18 to 28 August, and only the second close at or above 75 since 12 August. The volatility leg is therefore NOT satisfied, for the first time since 17 August. The 30-year closed **5.2423%** and the yield leg

fails by **24.23 bp**, WIDENED from 20.56. (ii) §9.15 does not fire for a THIRD consecutive session, and the third state has hardened. The rule describes ROTATION — one leg approaching while the other retreats. Here both legs deteriorated together for the third session running, and this time the deterioration was categorical rather than marginal: the volatility leg was not narrowed, it was **LOST**. That third state was first recorded on 21 August; 31 August is its FOURTH occurrence and its THIRD consecutive one. US-inflation remains the nearer of the two market downgrade candidates and the gap between them WIDENED sharply: **14.65 bp** against 24.23, from 15.44 against 20.56. The ordering has not changed since 26 August. (iii) Threshold B held its second close, and the SHAPE is the finding. B requires a 30-year above **5.20%** WITH a 10-year above **4.65%**. The 30-year now clears by **4.23 bp**, from 0.56 at the arming; the 10-year clears by **10.00 bp**, from 6.80 — its widest clearance of the regime. Both legs widened. The ordinals are **UNCHANGED**: six armings, five lapses, ELEVEN states and TEN changes since 29 July, and this is not a new state. (!) §9.49 recorded the 28 August arming as a DEFECT: a long-end stress test tripped by an **11.14 bp** front-end move in which the 30-year contributed **1.25 bp**. On 31 August B held on a **BEAR STEEPENER** in which the 30-year contributed the largest move on the curve — the exact signature B exists to catch. The temptation is to read that as vindication and close the item. It is not, and the item stays open: one arming was defective and the next was clean, which demonstrates that the test cannot distinguish between them. That was the original complaint (§9.51, A9). Threshold C: MOVE **75.32** is 54.68 below 130 and 39.70 below the 115.02 war high. (!) And the pairing this document has flagged for a month has CLOSED FROM THE WRONG END. Volatility is now 1.94 points ABOVE its 73.38 anchor while the 30-year sits **63.17 bp** above its own — both halves on the SAME side for the first time since 17 August. THE COMPOSITE FIGURE IS **RETIRED**, NOT UPDATED: 61.91 on 28 August was the SUM of two deviations in OPPOSITE directions, and that construction is undefined once both sit on the same side. Publishing a successor would be arithmetic without a referent. The two deviations are reported separately from here — **63.17 bp** and +1.94 — and the finding is that the anomaly closed because volatility ROSE to meet the yield, not because the yield came back

POLITICAL STRESS — 5/5, held. The scored series backfilled DOWN by a cent and then went dark for two sessions.
(i) The state is **UNRESOLVED**, and the backfill ran against the last edition. AUTMUSAG's 28 August cell, reported DARK yesterday, has printed at **$4.81** — one cent BELOW the **$4.82** of 27 August that this document had been carrying as the last resolved value. It did not print on 31 August or 1 September. The last resolved value is therefore **$4.81,** 21 cents above the named **$4.60** downgrade condition and 6 cents above the **$4.75** that fired the upgrade. (!) §9.10 is vindicated a SECOND TIME, and in the other direction: on 14 August two dark sessions backfilled UP and destroyed a downgrade case; here one backfilled DOWN. Neither was predictable from the run, which is exactly why §9.30 forbids reading a trend through dark sessions. (ii) The corroborating evidence continues to point down, and the month-on-month figure is corrected. AAA's own page, read on 1 September and stamped 'price as of 8/31/26', has regular at **$4.0807** and diesel at **$5.6002,** both below their week-ago levels. The diesel month-on-month gain is **CORRECTED** to +24.74 cents from the +26.4c carried yesterday, because AAA's month-ago row now reads **$5.3528** — a comparison window moving, not a restatement. (iii) The divergence is still the signal, and there is now a political instrument attached to it. Diesel is +**$1.90** year on year against regular's +89.22c. Separately, the national average has been above **$4** a gallon on every day of August, reported as the first time that has ever happened — and the President convened refiners, distributors, the Interior Secretary and the Energy Secretary for 1 September to discuss refining capacity and whether lower costs are reaching consumers. (!) That meeting is **PROSPECTIVE** at the cut and no readout exists. Nothing in the reporting signals an SPR release, an export restriction or a price control; the framing is supply-side and regulatory. It is recorded because a policy response to the pump is the transmission this channel was built to detect.

ESCALATION RISK — 5/5, held. Iran fired ballistic missiles at American bases in Jordan and claimed a drone attack on the UAE, and the score could not move a point.
(i) What happened, and it is now Tier 1. The downgrade requires a mediated stand-down and resumed talks. Instead, following the 30 August US strike on Larak Island, Iran ran operation 'Punishment of the Aggressor': ballistic missiles at the King Hussein and Al-Azraq air bases in Jordan on the night of 30–31 August, and a claimed drone attack on Al Minhad in the UAE. Jordan's armed forces confirmed intercepting and destroying eight missiles; Iran's foreign ministry confirmed the targeting; Qatar's foreign ministry condemned Iranian attacks on Jordan and the UAE by name. The UAE denied Al Minhad was hit while confirming its air force engaged a UAV approaching from Iran. (ii) The scale is saturated and this is now the reference case for §9.7. Escalation has been at 5/5 since 9 July. An Iranian ballistic-missile attack on American bases on the territory of a treaty partner, a second claimed attack on a Gulf state, the first Gulf-state attribution of an Iranian strike by name, and a presidential promise of retaliation not yet delivered together move the total by ZERO points. A flat 27 does not mean a stable week; it means the instrument is at its stop. (iii) Two disciplines applied against over-reading, and one against under-reading. The 'heavy damage' assertion is Tier 3 and is contradicted by every non-Iranian source, so it is not used; the ABC report of unintercepted missiles is carried as an unresolved conflict with Petra rather than resolved in either direction; and the 28–29 July Jordan attack remains a different event and is not reused (§9.13). (!) Against under-reading: the retaliation has been PROMISED and NOT DELIVERED, and that is the single most consequential open fact on the board. It is why the full-war line moves by two points and not by ten.

2.2 · Stage-4 thresholds

	Test	State on the 31 August close, with events to 1 September
A	A failed coupon auction: a clearing yield with a tail above the 1pm when-issued level	**NOT ARMED — UNTESTABLE AS WRITTEN (§9.39)**. NO coupon auction CLEARED in the window, so nothing is added to the five-auction record; the primary-dealer run on competitive-accepted is unchanged at 12.34, 2.09, 10.90, 10.05 and 12.264, and **12.264%** remains the SECOND-highest. The **$44**bn 7-year ISSUED on 31 August but was auctioned 27 August and is already in that run; its internals were re-verified against primary Treasury data this edition and reconcile exactly — high yield **4.5120%**, cover 2.50, dealers **12.26%** on competitive-accepted and **12.23%** on total award ex-SOMA. (!) TWO BILL auctions did clear on 31 August and they are NOT a Threshold A input, but the composition is worth recording: on competitive-accepted the indirect share fell from **51.98%** on the 13-week to **47.29%** on the 26-week while the dealer take-up rose from **40.50%** to **43.42%**, on the same afternoon. Six months of duration is where the bid thinned. Treasury publishes no when-issued level, so no tail is asserted for any of these

	Test	State on the 31 August close, with events to 1 September
B	30-year above **5.20%** WITH 10-year above **4.65%**	**ARMED, and it HELD a SECOND close with BOTH legs widening**. 30-year **5.2423%**, clearing by **4.23 bp** against 0.56 at the arming; 10-year **4.7500%**, clearing by **10.00 bp** against 6.80 — its widest clearance of the regime. The ordinals are **UNCHANGED** and this is not a new state: SIX armings and FIVE lapses, ELEVEN states and TEN changes since 29 July. (!) §9.49 stays OPEN. B armed on 28 August on a bear FLATTENER in which the 30-year contributed **1.25 bp** of an **11.14 bp** move, which the last edition recorded as a defect. It held on 31 August on a bear STEEPENER in which the 30-year contributed the largest move on the curve — the signature B was written for. A test met by both signatures does not discriminate between them, so the second reading does not repair the first (§9.51)
C	MOVE above 130	NOT ARMED. **75.32** — 54.68 points below C and 39.70 below the 115.02 war high of 26 March. (!) But the structure changed. The nine-close run below 75 ENDED at nine, and MOVE is now 1.94 points ABOVE its 73.38 pre-war anchor while the 30-year sits **63.17 bp** above its own. For the first time since 17 August BOTH halves are on the same side of their anchors. THE COMPOSITE FIGURE IS **RETIRED**, NOT UPDATED: 61.91 on 28 August was the SUM of two deviations in OPPOSITE directions, and that construction is undefined once both sit on the same side. Publishing a successor would be arithmetic without a referent. The two deviations are reported separately from here — **63.17 bp** and +1.94 — and the finding is that the anomaly closed because volatility ROSE to meet the yield, not because the yield came back. The month-long anomaly of a fully normalised expectation of movement around an un-normalised yield has closed from the wrong end

2.3 · Cross-asset macro record — compressed

The 31 August session was read as GULF-DRIVEN, layered on the Fed-driven base Warsh laid on 28 August. Reuters at 08:38 ET: US indexes were set to open lower 'after military strikes between the U.S. and Iran drove up oil prices, fanning inflation worries as the interest-rate outlook turns more hawkish'. CME-implied September HIKE odds rose to about **60%** at the open against Reuters' '**41.4%** a week ago', and **66%** by late morning on Forbes'; no close was obtainable, and the 28 August level is itself contested at **55.7%** and about **59%**, so NO session-on-session change is asserted. (!) Three instruments, three universes, never averaged: CME as above; Kalshi **47%** hike / **54%** hold on its own primary post, which CORRECTS the **48%** this document published and sums to **101%** unnormalised; Polymarket about **69%** for any 2026 hike, unrefreshed. A '**62%**' Kalshi and a '**56%**' Polymarket circulate without a dated source and are NOT published. The only US data in the window cut AGAINST Friday's: the Dallas Fed Texas Manufacturing survey ROSE 10.3 points to +11.6, new orders +15.6 to 22.0, ONE SESSION after the Chicago Business Barometer FELL 10.5 points to 47.1. (!) Two regional surveys, opposite signs, near-equal magnitudes; the 1 September ISM is the test and is **PROSPECTIVE**. Inside Dallas the war signature is explicit — raw-materials prices paid 44.1 against a 27.9 series average and a 76th consecutive positive month, forward prices paid 53.5, while wages DECELERATED 9.7 points: cost-push, not demand. NO Fed speech, testimony or press release dated 29, 30 or 31 August exists. Barr speaks 1 September and Waller 3 September — the ONLY two Board slots before the 5–17 September blackout; FOMC 15–16 September; payrolls 4 September. GDPNow is **4.6%** as of 26 August and the 1 September update is **PROSPECTIVE**. The full macro record, the Treasury-supply internals on both denominators, the war-powers schedule and the SPR conflict are at ANNEX A2.3.

3 · SHOCK SCORE

27 / 30 — CRISIS band (22–30). Held for a sixteenth consecutive edition. No channel moved. Rationales are trimmed here; §2.1 carries the detail and A10.2 the full trigger state.

Channel	Score	Basis on the 31 August close	Distance to a change
1 · Maritime denial	**5**	JMIC 091 keeps mine danger areas 'still active' two to three days after the commander declared the recognised routes clear. Two Khasab strikes; the 97 did not move	At the cap. The traffic leg did not advance (VRA No. 5 due 4 Sep); the reopening leg moved AWAY
2 · Oil price shock	**2**	Brent CO2 **$88.37, +$0.27**; WTI CL2 +**$2.23.** TTF a **war-record close**; Henry Hub **4.18%** below pre-war	**$6.63** below the **$95** upgrade, NARROWED from **$6.90** — six narrowings in ten readings. **$15.89** above the downgrade, WIDENED
3 · US inflation impulse	**5**	5y5y **2.2885%** — a SECOND consecutive close below the **2.30%** that fired the upgrade, and the lowest since it fired. BE10 moved the other way	**14.65 bp** above the **2.142%** anchor, NARROWED from 15.44 — the nearer candidate, by a WIDENED margin of 14.65 against 24.23
4 · Treasury stress	**5**	A **BEAR STEEPENER**: 30-year **5.2423%**, NOT a war high; 10-year **4.7500%** and 5-year **4.5002%**, both **NEW WAR-HIGH CLOSES**; 2-year –0.19. MOVE **75.32**	BOTH LEGS GONE. The volatility leg **LOST** for the first time since 17 Aug; the yield leg WIDENED to **24.23 bp** from 20.56
5 · Political stress	**5**	AUTMUSAG backfilled DOWN to **$4.81** for 28 Aug, then DARK for two sessions. AAA regular **$4.0807** and diesel **$5.6002,** both below week-ago	21 cents above the **$4.60** condition, **UNRESOLVED** (§9.30)
6 · Escalation risk	**5**	Iran fired ballistic missiles at two Jordanian air bases hosting US forces — Tier 1 on three sides — and CLAIMED a drone strike the UAE denied. Retaliation promised, not delivered	At the cap. Qatar moved from mediator to critic in four days

Read the composition, not the total (§9.7, §9.27). Five of six channels are at the ceiling, so the score cannot register an Iranian ballistic-missile attack on American bases in a treaty partner, two new war-high Treasury closes on one day, a war-record TTF close, or a Combined Maritime Forces product re-issued after the clearance claim with its mine language unaltered. It equally cannot register what cut the other way: no casualties were reported at either Jordanian base, Jordan reported intercepting and destroying eight missiles, and the promised American retaliation had not been delivered at the cut. (!) None of the three is a settled finding — the first is an absence of reporting rather than a confirmed nil, and the second is contested by ABC's two Jordanian security sources. A flat 27 is an instrument at its stop, in both directions.

4 · WHAT HAS CHANGED SINCE THE 31 AUGUST EDITION

#	Change	Significance
1	**The Jordan claim is corroborated as an EVENT by three Tier 1 sources** — Petra on eight missiles intercepted and destroyed, Iran's foreign ministry confirming the targeting, Qatar's MFA condemning attacks on Jordan and the UAE by name	The largest open fact in the last edition, **RESOLVED** in part. (!) The remaining core is narrow: ABC has two Jordanian security sources saying some missiles were NOT intercepted, and no US or Jordanian BDA or casualty figure was obtained
2	**JMIC Update 091 landed and does NOT endorse the clearance claim**. A fresh product issued 30 Aug, two to three days after the Cooper declaration and on the day of the Larak strike, keeping mine danger areas 'still active' and clearance operations continuing, both flagged '(No change)'	A three-edition watchlist item **RESOLVED**, against the claim. **FLOW, not STOCK** — now on allied paper rather than on this document's inference
3	**The long end sold off in the shape the Treasury test was written for**. A **BEAR STEEPENER** rising monotonically with tenor: 2-year –**0.19 bp**, 5-year +2.13 to a second consecutive **war-high close**, 10-year +3.20 to a **war-high close** and its first since 31 July, 30-year +3.67; BE10 +0.27	Real yield and term premium, not compensation. Threshold B HELD a second close with both legs widening — **4.23 bp** from 0.56 and 10.00 from 6.80. Ordinals **UNCHANGED** at eleven states, ten changes
4	MOVE broke back above 75 and the Treasury downgrade lost its remaining leg. **75.32**, +4.35, ending the run of NINE consecutive closes below 75; the yield leg widened from 20.56 to **24.23 bp**	§9.15 does not fire for a THIRD consecutive session, and a leg was **LOST** rather than narrowed. (!) The month-long anomaly closed from the wrong end: volatility 1.94 above its anchor and the 30-year **63.17 bp** above its own — same side, first time since 17 Aug
5	5y5y closed below **2.30%** for a **SECOND CONSECUTIVE** session — the first time the break has held two closes. **2.2964%** then **2.2885%**, the lowest since the upgrade fired; the two prior breaks, 13 and 25 Aug, were each retraced in one session	**The most adverse fact here for the monitor's own scoring**. The channel holds at 5 because the downgrade is **14.65 bp** lower and §9.26 forbids moving the rule — a third close would make it the largest open methodological problem in the document
6	**UKMTO became PARTLY obtainable by a varied method**. The listing pages will never serve product to a fetcher, but the media PDFs fetch once the file token is known. Two Tier 1 warnings and JMIC 091 recovered, 122-26's provenance **CORRECTED**; Advisory 123-26 and Warnings 125/126-26 stay **NOT OBTAINED**	New pitfall §9.50: a **NOT OBTAINED** on a JS-rendered site is a statement about the METHOD, which must be varied before the negative is published again
7	The Khamenei question is **RESOLVED** and the suspended clock retired. Trump named Mojtaba Khamenei as the incumbent on 26 Aug (Tier 1); Tasnim published his 28 Aug message (Iranian state); Al Jazeera, NBC, TIME and Iran International have carried the succession since March, with no rebuttal from any tier	An inherited clock of this document's own is **RETIRED** rather than repeated (§9.13). (!) And a Tier 1 negative of its own: english.khamenei.ir carries a 1 January 2026 dateline and nothing later — the Leader's platform has published nothing since two months BEFORE the war
8	**Both tracks stopped, and a statutory clock runs out into an empty chamber**. Nothing from Oman or Iran after 29 Aug, nothing from the White House on negotiations after 27 Aug, no OFAC action or Treasury release on Iran after 28 Aug, still no Chinese bank and no UAE embargo decree at fourteen days	(!) The 60-day War Powers clock from the 10 July notification expires 8 SEPTEMBER and the Senate is in pro forma session only until 14 September. 8 September is itself a pro forma day. A statutory expiry arrives six days before the chamber that would act can act

5 · SCENARIO MAP

Scenario	Prob.	Content	Shift and why
Deal collapse on terms	**40%**	The corridor framework exists on paper and dies over geometry, fees and sovereignty; the blockade and the counter-blockade both continue	–2, thirteenth edition as the modal case. Still modal, but an exchange of fire reaching American bases in Jordan makes 'collapse over geometry and fees' a less complete description of the state
Return to full war	**23%**	Sustained US or Israeli strike campaign inside Iran with Iranian reprisals against US bases and Gulf infrastructure	**+2, a second consecutive rise**. Iranian ballistic missiles were fired at US bases in Jordan and the President said 'there will be a response'. (!) It is +2 and not more BECAUSE the retaliation had not been delivered at the cut, no casualties were reported, and Trump himself called it 'a relatively little war'
Contained but violent	**21%**	The present state persists: blockade, counter-blockade, periodic strikes on shipping, no reopening and no general war	–3. The escalation lines gained six between them; three points came from here, TWO from deal collapse and one from mediated pause. It still describes the maritime record — two Khasab strikes in three days — but no longer the state-on-state record
Regional relapse	**13%**	The war widens to Gulf states directly — UAE, Saudi or Qatari territory or infrastructure struck	**+4, and this is the line the window actually moved**. The last edition held it deliberately because Jordan is not in its stated population. The UAE is. Iran claimed a drone attack on Al Minhad, the UAE confirmed engaging a UAV approaching from Iran, and Qatar condemned attacks on the UAE by name — all Tier 1

Scenario	Prob.	Content	Shift and why
Mediated pause	**3%**	A verified stand-down, resumed talks and a reopening on published terms	–1, a third consecutive cut and a new low for the war. Qatar went from Tehran on 27 Aug to condemning Iran on 31 Aug; Bessent set maximalist conditions on television; Oman and Iran silent since 29 Aug

Sums to 100. Deal collapse and full war together carry **63%**, **UNCHANGED** — but the composition beneath that number moved: the three lines involving continued or widening violence now carry **57%**, UP from **54%**, and mediated pause is at **its lowest reading of the war**. (!) The weight behind each shift differs and is named rather than blurred. Full war and contained-but-violent move on **TIER 1** facts — Petra on eight missiles destroyed in Jordanian airspace, and Iran's MFA and Qatar's MFA on missiles fired at US bases in Jordan. Regional relapse moves on a WEAKER basis and is stated as such: the UAE MoD confirmed engaging a UAV approaching from Iran and Qatar named the UAE, but the STRIKE claim is Iranian, Tier 3 and **DENIED** by the UAE, so the +4 records a demonstrated willingness to reach Gulf airspace, NOT a strike on Gulf territory. Mediated pause moves on Tier 2 and on two negatives. The 'heavy damage' assertion carries NO weight anywhere. If the promised American retaliation is delivered, the full-war line moves again; if it is not delivered inside a week, this reading is at the top of its range.

6 · WATCHLIST · NEXT 24–72 HOURS

#	Watch item	Why it matters
1	Whether the promised American retaliation is delivered, and against what. Trump said 'we're going to hit them hard' on 31 August; nothing had been executed at the cut	**The largest open fact on the board, and the reason the full-war line moved 2 points rather than 10**. A strike inside Iran answering an attack on a third country's territory is a different war from the one fought since 29 July
2	Whether any US or Jordanian source publishes impact points, a BDA or a casualty figure for King Hussein and Al-Azraq — and whether Petra's account survives ABC's two Jordanian security sources saying some missiles were not intercepted	**The narrowed core of the resolved claim**. (!) Petra states EIGHT INTERCEPTED and gives NO launch total, so no interception RATE follows from it. Whether missiles landed on a base hosting US forces is not a detail
3	Whether 5y5y closes below **2.30%** a THIRD consecutive session (it closed below on 28 and 31 August), and whether MOVE holds above 75 and Threshold B holds a third close (MOVE broke a nine-close run at **75.32**; B now clears by 4.23 and **10.00 bp**)	A third 5y5y close would make the gap between the firing rule and the documented downgrade the largest open methodological problem in this document, ahead of §9.49 (§9.16, §9.26). A second MOVE close above 75 would end the volatility leg as a live candidate rather than a lapse, and B at these margins is no longer decided by fractions of a basis point
4	1 Sep ISM, JOLTS and GDPNow; 2 Sep Beige Book and WPSR; Waller at Reuters NEXT on 3 Sep; payrolls 4 Sep — all **PROSPECTIVE** at the cut	**The ISM adjudicates between Chicago at 47.1 and Dallas at +11.6**. The WPSR is the next chance at the SPR conflict — EIA 289.7 mn bbl against DOE 294.1 MMB, both standing. Waller is one of only two Board slots before the blackout
5	The 8 Sep War Powers expiry into a pro forma Senate; Treasury's still-unpublished buyback schedule eight days before the **$4**bn regime starts on 9 Sep; UKMTO VRA No. 5 on 4 Sep; OPEC+ on 6 Sep	Four dated events inside a week, two turning on a promised document that does not exist. The buyback gap is new: SB0607 promised an updated schedule on 19 August and none has appeared

The SOURCE LOG, the UPDATE PROTOCOL and the METHODOLOGY are not printed in the edition. They are carried as A7, A8 and A9 in the companion ANNEX for 1 September 2026 — A9 lists the rules EXERCISED this edition rather than restating the full rule set, together with A1 (full tape commentary and the reconciliation), A2.3 (the full macro record, the war-powers schedule and the SPR conflict) and A10 (anchor and trigger levels).